# M&A LEGAL DUE DILIGENCE REPORT

Target: Target Technologies Corp. | Transaction: Project Titan Acquisition

**CLASSIFICATION: CONFIDENTIAL // ATTORNEY-CLIENT PRIVILEGED** DATE: November 13, 2026 | MATERIAL CONTRACTS AUDIT

## 1. EXECUTIVE RISK HEATMAP & SUMMARY

| CONTRACTS | CRITICAL | HIGH RISK | MEDIUM RISK | CLEAN / LOW |
|---|---|---|---|---|
| 4 | 2 | 3 | 0 | 1 |

## 2. MANDATORY PRE-CLOSING CONDITIONS PRECEDENT (CP) CHECKLIST

*The following third-party consents and waivers must be obtained prior to closing to prevent contract breach or transaction blockers:*

| ID | CONTRACT & PARTIES | REQUIRED PRE-CLOSING ACTION | RISK IF UNOBTAINED |
|---|---|---|---|
| CP-1 | **MASTER SERVICES AGREEMENT**<br>*Acme Global Industries Inc. / Target Technologies Corp* | MANDATORY: (1) Include as a closing Condition Precedent (CP) to obtain written counterparty consent; (2) List on Seller Disclosure Schedule 3.4 (Consents & Approvals); (3) Formulate pre-signing outreach strategy. | CRITICAL CLOSING BLOCKER: Transaction explicitly triggers Change of Control consent. Counterparty holds sole discretion to withhold consent and retains unilateral termination rights or clawback remedies upon closing without prior consent. |
| CP-2 | **ENTERPRISE SOFTWARE-AS-A-SERVICE (SAAS) SUBSCRIPTION...**<br>*Globex Cloud Solutions LLC / Target Technologies Corp* | Obtain formal waiver/consent prior to Closing or secure closing condition in Acquisition Agreement. | Change of Control requires counterparty consent. While not explicitly subject to sole discretion, failure to obtain consent creates risk of contract repudiation or post-closing renegotiation. |
| CP-3 | **EXCLUSIVE COMMERCIAL DISTRIBUTION AND CHANNEL AGREEMENT**<br>*Apex Logistics & Supply International Inc. ("Distributor") / Target Technologies Corp* | DEAL STRUCTURING PRIORITY: (1) Mandatory closing waiver or contract amendment carving out Buyer and Buyer's pre-existing affiliates; (2) Alternatively, isolate Target in a remote corporate subsidiary ring-fence. | HIGH-SEVERITY CONTAMINATION RISK: Restrictive covenant / non-compete explicitly binds Target's 'current or future Affiliates and parent entities'. Following closing, Buyer and its existing subsidiaries would become 'Affiliates' and could be legally prohibited from distributing competing products in the Territory! |
| CP-4 | **EXCLUSIVE COMMERCIAL DISTRIBUTION AND CHANNEL AGREEMENT**<br>*Apex Logistics & Supply International Inc. ("Distributor") / Target Technologies Corp* | Obtain formal waiver/consent prior to Closing or secure closing condition in Acquisition Agreement. | Change of Control requires counterparty consent. While not explicitly subject to sole discretion, failure to obtain consent creates risk of contract repudiation or post-closing renegotiation. |

## 3. MASTER RED FLAG DUE DILIGENCE MATRIX

| CONTRACT | CATEGORY | SEVERITY | CONSENT | DEAL IMPLICATION / ANALYSIS |
|---|---|---|---|---|
| **MASTER SERVICES AGREEMENT** | Change of Control (CoC) | CRITICAL | **Required (Sole and Absolute Discretion)** | CRITICAL CLOSING BLOCKER: Transaction explicitly triggers Change of Control consent. Counterparty holds sole discretion to withhold consent and retains unilateral termination rights or clawback remedies upon closing without prior consent. |
| **ENTERPRISE SOFTWARE-AS-A-SERVICE (SAAS) SUBSCRIPTION...** | Change of Control (CoC) | HIGH | **Required (Silent / Unspecified)** | Change of Control requires counterparty consent. While not explicitly subject to sole discretion, failure to obtain consent creates risk of contract repudiation or post-closing renegotiation. |
| **EXCLUSIVE COMMERCIAL DISTRIBUTION AND CHANNEL AGREEMENT** | Restrictive Covenant / Non-Compete | CRITICAL | Not Required | HIGH-SEVERITY CONTAMINATION RISK: Restrictive covenant / non-compete explicitly binds Target's 'current or future Affiliates and parent entities'. Following closing, Buyer and its existing subsidiaries would become 'Affiliates' and could be legally prohibited from distributing competing products in the Territory! |
| **EXCLUSIVE COMMERCIAL DISTRIBUTION AND CHANNEL AGREEMENT** | Termination for Convenience | HIGH | Not Required | Unilateral termination for convenience by counterparty on short notice (30 days). Presents revenue vulnerability post-acquisition: counterparty can walk away immediately upon learning of the deal. |

| CONTRACT | CATEGORY | SEVERITY | CONSENT | DEAL IMPLICATION / ANALYSIS |
|---|---|---|---|---|
| **EXCLUSIVE COMMERCIAL DISTRIBUTION AND CHANNEL AGREEMENT** | Change of Control (CoC) | HIGH | **Required (Silent / Unspecified)** | Change of Control requires counterparty consent. While not explicitly subject to sole discretion, failure to obtain consent creates risk of contract repudiation or post-closing renegotiation. |
| **STRATEGIC TECHNOLOGY COOPERATION AND OEM AGREEMENT** | Assignment & Transfer | LOW | Not Required | Standard M&A successor carve-out. Allows assignment without consent in connection with a merger or asset/stock acquisition. Check competitor exclusions (Exhibit D). |

## 4. DETAILED CONTRACT-BY-CONTRACT AUDIT & VERBATIM CITATIONS

### 1. MASTER SERVICES AGREEMENT

CRITICAL CP: YES

*Parties: Acme Global Industries Inc., Target Technologies Corp | Governing Law: New York | Effective: January 15, 2023*

**[Change of Control (CoC)] Severity: CRITICAL (Standard: Sole and Absolute Discretion)**

> **Verbatim Clause Citation:**
> *"SECTION 12. ASSIGNMENT AND CHANGE OF CONTROL 12.1 General Prohibition. Neither party may assign, delegate, or otherwise transfer this Agreement or any of its rights or obligations hereunder, whether voluntarily, involuntarily, by operation of law, or otherwise, without the prior written consent of the other party. 12.2 Change of Control of Provider. Any Change of Control of Provider shall be deemed an assignment requiring Client's prior written consent, which consent may be granted or withheld in Client's sole and absolute discretion. For pu..."*

**Legal Risk Assessment:**

CRITICAL CLOSING BLOCKER: Transaction explicitly triggers Change of Control consent. Counterparty holds sole discretion to withhold consent and retains unilateral termination rights or clawback remedies upon closing without prior consent.

**Prescribed Transactional Action:**

MANDATORY: (1) Include as a closing Condition Precedent (CP) to obtain written counterparty consent; (2) List on Seller Disclosure Schedule 3.4 (Consents & Approvals); (3) Formulate pre-signing outreach strategy.

### 2. ENTERPRISE SOFTWARE-AS-A-SERVICE (SAAS) SUBSCRIPTION...

HIGH CP: YES

*Parties: Globex Cloud Solutions LLC, Target Technologies Corp | Governing Law: California | Effective: March 1, 2024*

**[Change of Control (CoC)] Severity: HIGH (Standard: Silent / Unspecified)**

> **Verbatim Clause Citation:**
> *"14. ASSIGNMENT Neither party may assign, sublicense, transfer, or encumber this Agreement, or any of its rights or obligations hereunder, by operation of law, change of control, or otherwise, without the prior written consent of the non-assigning party; provided, however, that such consent shall not be unreasonably withheld, conditioned, or delayed. Any attempted assignment in violation of this Section 14 shall be null and void ab initio."*

**Legal Risk Assessment:**

Change of Control requires counterparty consent. While not explicitly subject to sole discretion, failure to obtain consent creates risk of contract repudiation or post-closing renegotiation.

**Prescribed Transactional Action:**

Obtain formal waiver/consent prior to Closing or secure closing condition in Acquisition Agreement.

### 3. EXCLUSIVE COMMERCIAL DISTRIBUTION AND CHANNEL AGREEMENT

CRITICAL CP: YES

*Parties: Apex Logistics & Supply International Inc. ("Distributor"), Target Technologies Corp | Governing Law: Delaware | Effective: August 10, 2022*

**[Restrictive Covenant / Non-Compete] Severity: CRITICAL (Standard: Consent Not Required)**

> **Verbatim Clause Citation:**
> *"SECTION 4. EXCLUSIVITY AND TERRITORY 4.1 Exclusive Appointment. Company hereby appoints Distributor as its exclusive commercial distributor in the territory of the United States and Canada ("Territory") for all Company telemetry hardware and related accessories. 4.2 Negative Covenant. Company agrees that neither Company, nor any of its current or future Affiliates, parent entities, subsidiaries, or successors-in-interest, shall directly or indirectly market, sell, promote, or distribute competing hardware products in the Territory during the..."*

**Legal Risk Assessment:**

HIGH-SEVERITY CONTAMINATION RISK: Restrictive covenant / non-compete explicitly binds Target's 'current or future Affiliates and parent entities'. Following closing, Buyer and its existing subsidiaries would become 'Affiliates' and could be legally prohibited from distributing competing products in the Territory!

**Prescribed Transactional Action:**

DEAL STRUCTURING PRIORITY: (1) Mandatory closing waiver or contract amendment carving out Buyer and Buyer's pre-existing affiliates; (2) Alternatively, isolate Target in a remote corporate subsidiary ring-fence.

**[Termination for Convenience] Severity: HIGH (Standard: Consent Not Required)**

> **Verbatim Clause Citation:**
> *"SECTION 9. TERMINATION FOR CONVENIENCE Notwithstanding anything to the contrary herein, Distributor may terminate this Agreement without cause and for its sole convenience at any time upon thirty (30) days prior written notice to Company. Company shall have no right of termination for convenience."*

**Legal Risk Assessment:**

Unilateral termination for convenience by counterparty on short notice (30 days). Presents revenue vulnerability post-acquisition: counterparty can walk away immediately upon learning of the deal.

**Prescribed Transactional Action:**

Financial DD coordination: Assess customer concentration and valuation haircut if counterparty terminates; consider retention conversations as part of pre-closing integration.

**[Change of Control (CoC)] Severity: HIGH (Standard: Silent / Unspecified)**

> **Verbatim Clause Citation:**
> *"SECTION 15. ASSIGNMENT AND TRANSFERS 15.1 Assignment by Company. This Agreement is personal to Company. Company may not assign, transfer, pledge, or delegate this Agreement, or any portion thereof, without the prior express written consent of Distributor. 15.2 Change in Ownership. Any direct or indirect transfer of fifty percent (50%) or more of the voting control or beneficial ownership of Company shall be deemed an assignment under this Section 15. In the event of such transfer without Distributor's written approval, Distributor may immedi..."*

**Legal Risk Assessment:**

Change of Control requires counterparty consent. While not explicitly subject to sole discretion, failure to obtain consent creates risk of contract repudiation or post-closing renegotiation.

**Prescribed Transactional Action:**

Obtain formal waiver/consent prior to Closing or secure closing condition in Acquisition Agreement.

## 4. STRATEGIC TECHNOLOGY COOPERATION AND OEM AGREEMENT

LOW | CP: NO

*Parties: Inventure Technologies SE, Target Technologies Corp | Governing Law: England and Wales | Effective: November 5, 2023*

**[Assignment & Transfer] Severity: LOW (Standard: Consent Not Required)**

> **Verbatim Clause Citation:**
> *"ARTICLE 16. ASSIGNMENT AND SUCCESSORS 16.1 General. Except as expressly set forth in Section 16.2 below, neither party may assign or transfer this Agreement without the prior written consent of the other party (such consent not to be unreasonably withheld, conditioned, or delayed). 16.2 Permitted M&A Carve-Out. Notwithstanding Section 16.1, either party may assign or transfer this Agreement, or any of its rights and obligations hereunder, without the consent of the other party: (a) to an Affiliate of the assigning party; or (b) in connection..."*

**Legal Risk Assessment:**

Standard M&A successor carve-out. Allows assignment without consent in connection with a merger or asset/stock acquisition. Check competitor exclusions (Exhibit D).

**Prescribed Transactional Action:**

Confirm Buyer is not a listed competitor on Exhibit D; diarize post-closing notice within 15 business days.